

that it was a good investment to make. I thought I could expect more orders from him later, but that did not happen either. The following year, he told me that his nephew, an LIC salesman, was falling short of his annual target. “Are you insured?” he asked me. When I told him I was not, he suggested that I buy a policy. And without even asking me, he dialled his nephew saying he had a customer for him. It was obvious that I had to buy a policy from his nephew, whether I liked it or not. Those two episodes taught me the truth in the saying that there are no free lunches; and even if there are, they are not served on Dalal Street, for sure.’

It was not that I was completely disinterested in what the big foreign funds were doing in the market. But I considered it an act of betrayal to front-run trades that were disclosed to me in confidence. I was well networked with dealers at the foreign broking houses, and I had a fairly good idea of the trades the foreign funds were doing. Occasionally, dealers would tell me about their big orders as it boosted their ego.

Because of their large size, buy and sell orders of FIIs influenced share prices. The operators had by then cosied up to the important fund managers, and also had friends among dealers and sales people at foreign brokerages. It was crucial for operators to know what the foreign funds were up to, as their large trades could swing prices either way. Usually, the predators got wind of the big trades and made a killing on them.

Although regular contact with dealers at foreign brokerages afforded you a fair idea of the important deals in the market, you still did not have the complete picture. You might know about a big sell order for a stock at one of the brokerage firms. But there could be a bigger buy order in the same stock at another firm. So, if you only had knowledge of one sell order and short-sold the stock, you could be forced to cover at a loss when the other broking firm punched in its buy order.

As a rule, I never tried to make profits on deals where I had been approached to find a buyer or seller. I remember GB’s reply when I asked him what it took to make a lot of money in this market:

‘Skill, common sense, patience, inside information and, most importantly . . . ,’ he paused to trace out an imaginary circle at the centre of his forehead with his finger, ‘kismet . . . it must be in your destiny to make money.

‘It is something like this . . . you could be sitting in the lap of the most powerful operator, and he may well punch in your trades before his. But if